NSW Treasury

Evidence Bank Annual Insights Report

July 2026

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Acknowledgement of Country

We acknowledge that Aboriginal and Torres Strait Islander peoples are the First Peoples and Traditional Custodians of Australia, and the oldest continuing culture in human history.

We pay respect to Elders past and present, and commit to respecting the lands we walk on and the communities we walk with.

We celebrate the deep and enduring connection of Aboriginal and Torres Strait Islander peoples to Country, and acknowledge their continuing custodianship of the land, seas and sky.

We acknowledge the ongoing stewardship of Aboriginal and Torres Strait Islander peoples, and the important contribution they make to our communities and economies.

We reflect on the continuing impact of government policies and practices, and recognise our responsibility to work together with and for Aboriginal and Torres Strait Islander peoples, families and communities, towards improved economic, social and cultural outcomes.

Artwork:
Regeneration by Josie Rose





Regeneration

Josie Rose is a Gumbaynggirr woman who expresses her contemporary Gumbaynggirr cultural heritage through art. For *Regeneration* her chosen medium is acrylic paint on canvas and the design embodies both creative and cultural expression. The inspiration for her artworks comes from a deep place of spiritual connection to her family, community, culture and respect for Mother Earth. Gumbaynggirr Country, on the Mid North Coast, is beautiful land with both freshwater and saltwater waterways which inspire her holistic connection to the Ancestors.

Josie Rose | Gumbaynggirr Nation
Artist

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What is the Evidence Bank?

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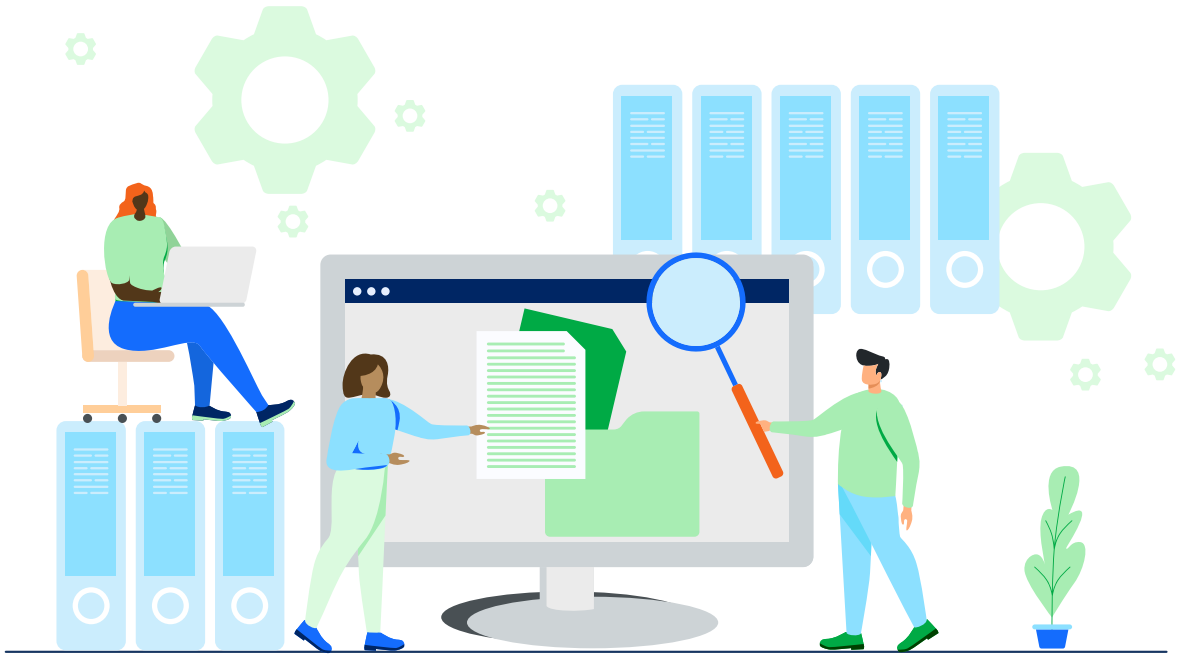
The Evidence Bank is a NSW Government initiative led by NSW Treasury that promotes evidence-informed decision-making. Operating since 2019, it collects and reports annually on how evidence is used across the NSW Government.

The Evidence Bank seeks to:

- build capability in the use of evidence
- improve the quality and consistency of analysis across government
- support collaboration and information sharing.

Evidence-informed policy development and decision-making support better resource allocation and reduced pressure on government expenditure.

This Evidence Bank Annual Insights Report provides a snapshot of evidence-informed policy development and trends over the past 12 months.



Evidence policy in NSW – what's new

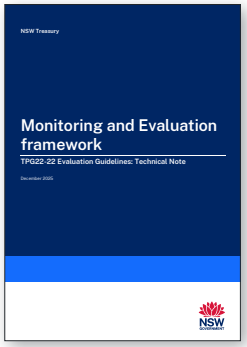
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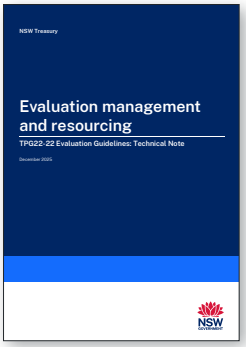
NSW Treasury launched the **Evaluation Library** in January 2026. It collects and makes it easier for public servants, researchers, community partners and the public to find and use evaluation evidence.

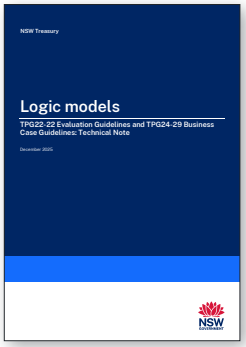
NSW Treasury has revamped **supporting resources for the Evaluation Guidelines.**

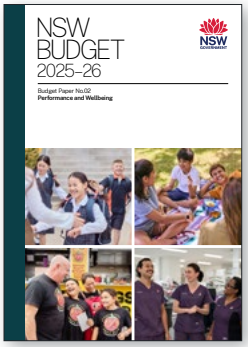
Eight workbooks have been consolidated into three new technical notes:

- Monitoring and Evaluation framework (PDF 732.96 kB)
- Evaluation management and resourcing (PDF 535.43 kB)
- Logic models (PDF 1.62 MB).









New templates were published to accompany these technical notes for logic models (PDF 259.34 kB), evaluation plan (PDF 501.45 kB) and evaluation report (PDF 458.77 kB).

The NSW Government introduced the **NSW Performance and Wellbeing Framework** in the 2025–26 NSW Budget. It tracks progress on key government priorities using a targeted set of performance and wellbeing measures.

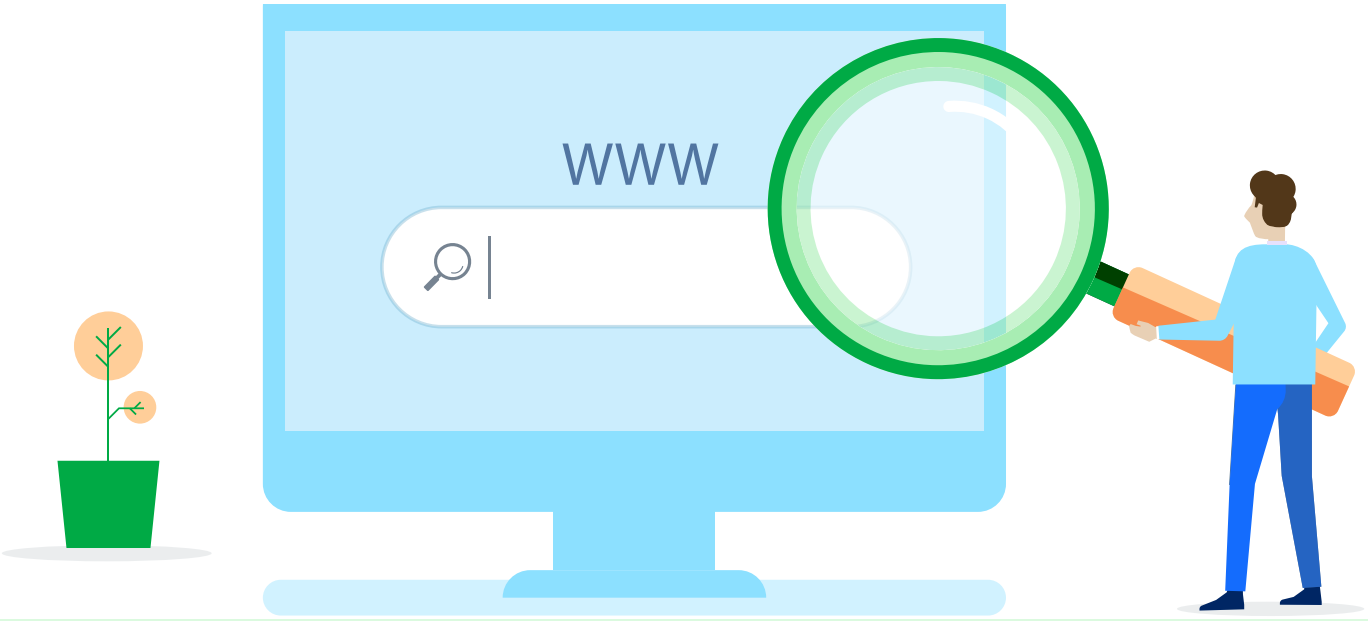
The framework is supported by the **NSW Performance and Wellbeing Framework TPG26-02**, which sets mandatory performance reporting requirements.

The Department of Communities and Justice (DCJ) published the **DCJ Benefits Database** (PDF 1.5 MB) in May 2025. It provides standard values for human services cost-benefit analysis (CBA). It is designed to enable more robust CBA to support business decisions and program evaluation.

NSW Treasury published the **Choice modelling technical note** (PDF 1.29 MB). The technical note provides guidance on how stated-preference choice models can support evidence-informed decision-making and CBA for goods and services that do not have explicit market prices.

Transport for NSW released a technical note on **assessing carbon valuation in economic appraisal of transport capital investment projects** (PDF 889.04 kB). It provides guidance on how to incorporate the value of carbon emissions in transport CBA.

Transport for NSW released an **Engineering Cost and Carbon Library**. The library provides industry and government with a consistent, easy-to-use register of carbon intensities aligned to engineering design and cost estimation frameworks.



What resources and support are available?

- The **Rapid Cost-Benefit Analysis Tool** helps produce CBA based on the principles in the NSW Government Guide to Cost-Benefit Analysis (TPG23-08).
- The **Outcomes Values Database (OVD)** provides a set of standardised parameters that can be used when estimating economic and social outcomes in CBA.
- The **employment calculator** is a tool for agencies to estimate the number of jobs supported by government initiatives.
- **Quality assessment tools** provide a structured approach to assess and improve the quality of CBA and evaluations. They can help both with the development and the review of proposals and evaluations.
- The **Investment Framework e-learning modules** introduce the NSW Government Investment Framework and cover the basics of business cases, CBA, monitoring and evaluation planning, and evaluation.
- The **Evidence Community of Practice** provides a forum to share and build knowledge on how to use business cases, CBA and evaluation. To join the community, email cee@treasury.nsw.gov.au

Evidence spotlights

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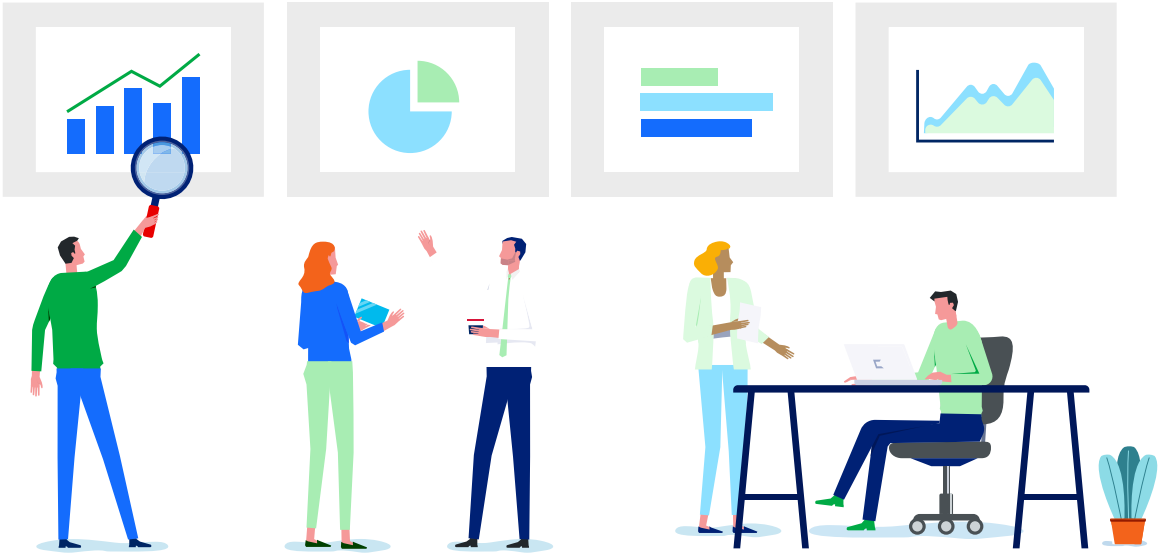
Spotlight 1: Evaluation in NSW

Across the NSW Government in 2024–25 there were:

- 117 evaluations completed, covering programs and projects with a combined value of $22.6 billion[1] (Figure 1)
- 188 evaluations in progress, covering programs and projects with a combined value of $13.5 billion (Figure 2).

The value of initiatives with evaluations – completed or in-progress – was lower in 2024–25 than in 2023–24. This is driven by evaluation of high-value programs in 2023–24, including the Future Directions program (valued at $23.5 billion) and 2021 COVID-19 Business Support Programs (valued at $10.4 billion).

The number of completed evaluations, however, increased from 106 in 2023–24 to 117 in 2024–25.



[1] Estimated total cost as reported by agencies over the life of the initiative or, for ongoing programs, over the evaluation period. Estimated total cost includes recurrent and capital expenses.

Figure 1: Total number and value of initiatives evaluated, completed

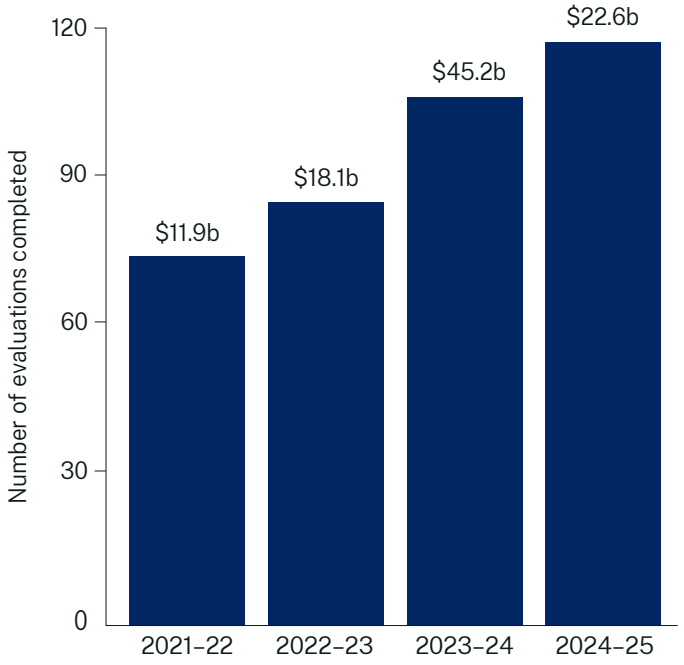
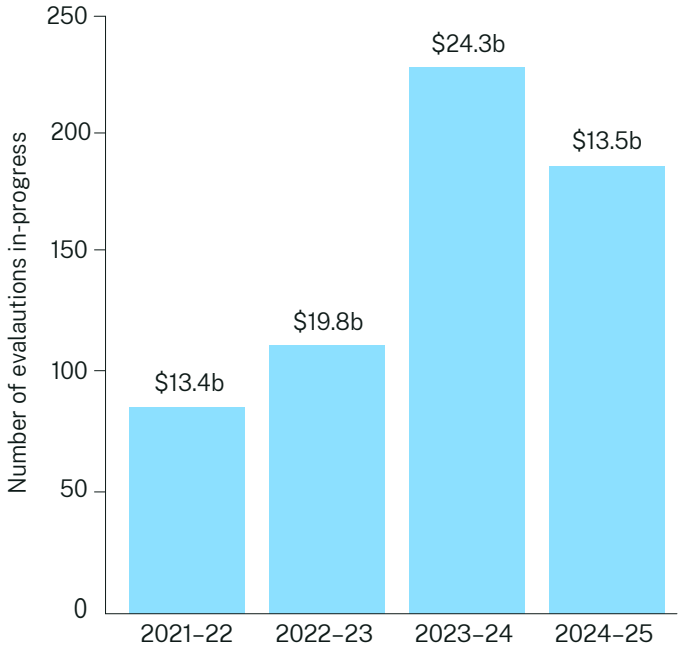


Figure 2: Total number and value of initiatives evaluated, in-progress[2]

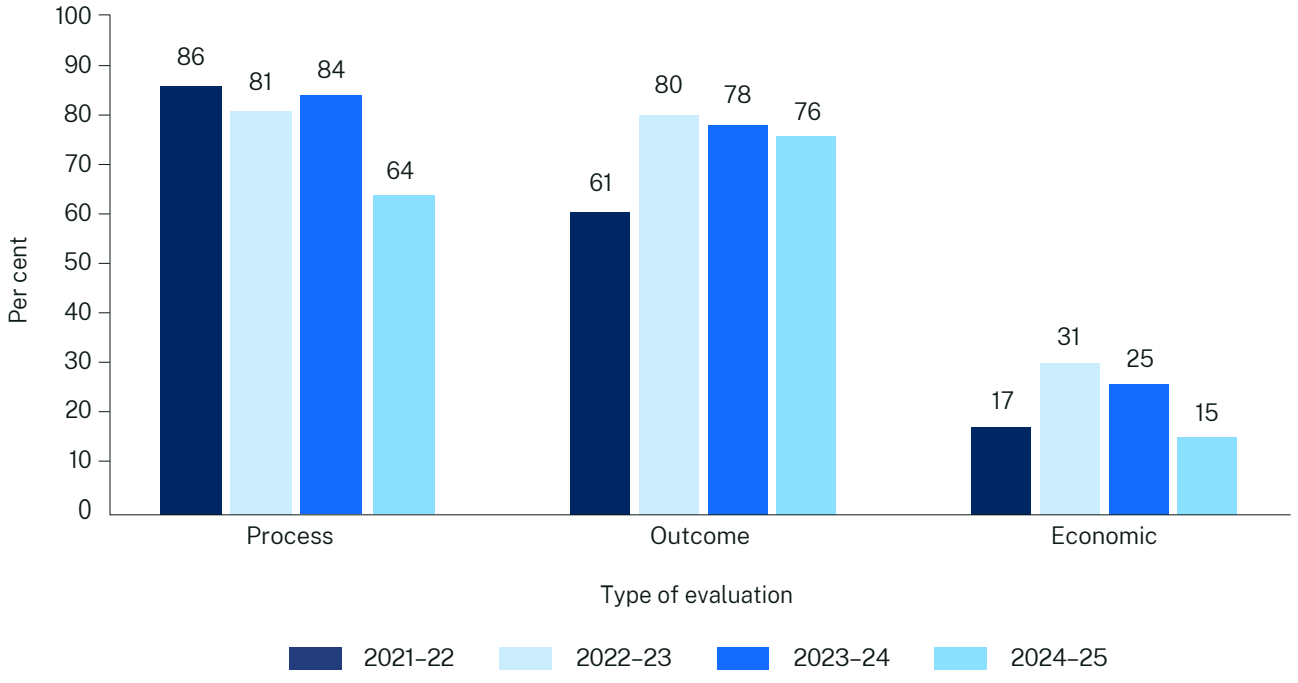


Types of evaluation

Different types of evaluation are relevant at different stages of the initiative lifecycle. When deciding on the type(s) of evaluation to undertake, evaluators should consider the stage of the initiative and the information needed for decision-making.

While rates of process and outcome evaluations have remained relatively high, economic evaluation has dropped from 25 per cent to 15 per cent between 2023–24 and 2024–25 (Figure 3).

Figure 3: Percentage of total completed evaluations that included process, outcome and economic evaluations[3]



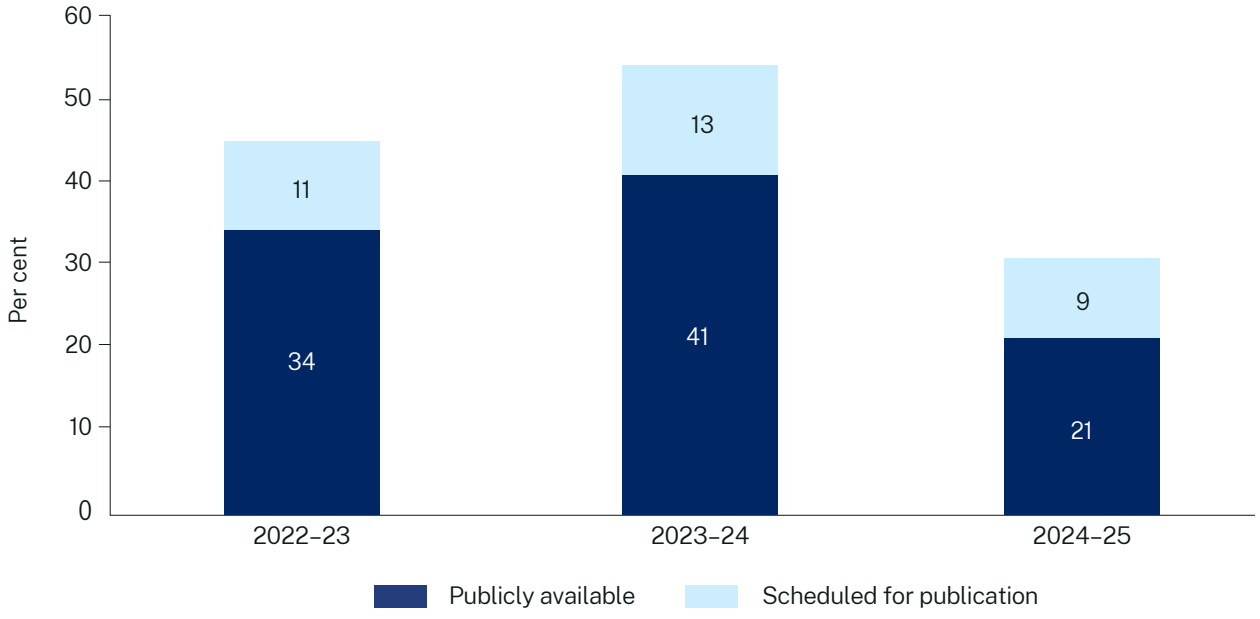
[2] Numbers on top of the bars refer to the total value of initiatives evaluated and in-progress, in billions.
[3] Percentages for each financial year do not sum to 100 per cent, as a single evaluation may include multiple types of evaluation (for example, process and outcome).



Publicly available evaluation

Publishing evaluations shares evidence about what works, and supports government transparency and accountability. The Evaluation Guidelines mandate publication of evaluations, unless there is an overriding public interest against doing so. Evaluation publication rates, however, decreased from 41 per cent in 2023–24 to 21 per cent in 2024–25 (Figure 4).

Figure 4: Share of completed evaluations that are publicly available



Snapshot of evaluations completed in 2024–25



Example 1: Targeted Earlier Intervention

The Department of Communities and Justice commissioned a process, outcome and economic evaluation of the Targeted Earlier Intervention (TEI) program. The program aims to strengthen families and communities by fostering resilience, to reduce the number of children encountering the child protection system.

Evaluation approach

The evaluation used a mixed-methods approach. It linked the Data Exchange and the Human Services Dataset to support a greater understanding of who was using TEI services and outcomes for clients.

Key findings and recommendations

The evaluation found that the program:

- improved safety outcomes and reduced interactions with the child protection system
- reduced the likelihood of concern reports and remaining in out-of-home care
- was effective for Aboriginal and non-Aboriginal children and families
- had a benefit–cost ratio of 0.51 (noting that CBA took a conservative approach and did not quantify all benefits).

Opportunities for improvement were identified, including:

- increasing funding and capacity of Aboriginal Community Controlled Organisations
- strengthening community engagement
- greater flexibility in service design.

The recommendations are guiding improvements to the program's design, delivery and commissioning. For example, the NSW Government has committed to a target of investing 30 per cent of early intervention program funds with Aboriginal Community Controlled Organisations.

Example 2: Overarching Bushfires

The NSW Government recovery programs for the 2019–20 bushfires were implemented in response to one of the most intense fire seasons on record in Australia.

An evaluation commissioned by the NSW Reconstruction Authority looked at the effectiveness of 12 disaster recovery programs, and provided recommendations for future programs.

The programs reviewed covered infrastructure, environment, economic and social recovery activities – such as grants for businesses and individuals, and community project funding.

Evaluation approach

The evaluation provided program-level and system-level insights through stakeholder interviews and document review. These were complemented by six community case studies that examined how multiple recovery activities interacted on the ground (fieldwork, interviews, site visits and desktop review).

Evidence was synthesised using a bespoke triple rubric, applied consistently across programs. This approach enabled comparison of performance individually and as a collective state response. Analysis was limited by moderate data quality and significant data gaps.

Key findings and recommendations

The evaluation found performance was mixed. Of the seven core areas, four (design, implementation, effectiveness and alignment) were substantially met. This demonstrated that the program was largely fit-for-purpose under challenging circumstances. Performance against the remaining areas (equity, efficiency and responsiveness) was variable.

Forty-six recommendations were identified across six themes:

- strategically phasing rapid and long-term support
- tailoring delivery to local needs
- retaining and transferring recovery workforce capability
- enabling system collaboration and information sharing
- embedding flexibility in contracts to adapt to changing needs
- designing data collection and evaluation upfront.

These recommendations provide guidance on how future disaster recovery programs can ensure an effective, timely and efficient response.



Example 3: Clontarf Foundation

The Clontarf Foundation Academies program supports young Aboriginal and Torres Strait Islander men through mentoring, positive male role models, extracurricular activities and wrap-around supports to strengthen school attendance, attainment and wellbeing.

Evaluation approach

A process, outcome and economic evaluation of the program was delivered in partnership with Murawin, a First Nations-owned and led national consultancy firm.

The evaluation embedded Aboriginal and Torres Strait Islander governance and culturally safe practices throughout the design and delivery of the evaluation, including how data was collected and analysed. Face-to-face fieldwork was conducted with ethics approval from the Australian Institute of Aboriginal and Torres Strait Islander Studies (AIATSIS).

Consultations were centred around community voice (including yarning-style approaches), respecting Indigenous Cultural and Intellectual Property (ICIP) principles.

Key findings and recommendations

The process evaluation identified success factors such as:

- tailoring delivery to local community needs
- enthusiastic staff who build strong relationships with schools and families
- wrap-around supports that promote student wellbeing.

The outcome evaluation found the program incentivises engagement with schooling and pathways beyond school. This is tracked through KPIs for retention, attendance and employment. The program was also associated with:

- positive behavioural and psychological shifts
- improved physical and mental health
- a stronger sense of belonging and connection between students, families, communities and schools.

Support for young Aboriginal and Torres Strait Islander women in schools was identified as not comparable, suggesting similar supports for girls and young women could have benefits.

A forward-looking cost-benefit analysis of impact looked at a business-as-usual scenario and an expansion scenario for 2024 to 2029, using Human Services Dataset unit record data. It examined benefits such as reduced expected days in custody (youth and adults), and reduced hospitalisations related to alcohol and other drugs.

The analysis concluded that Clontarf academies return a small net positive benefit of $1.01 for every $1 invested. Data was not sufficient to demonstrate causality for reduced criminal justice system involvement or improved health outcomes, so these benefits could not be counted towards the benefit–cost ratio.

The evaluation makes 15 recommendations focused on:

- improving cultural responsiveness and safety
- strengthening Aboriginal and Torres Strait Islander staffing models
- improving measurement and post-school tracking
- lifiting academic emphasis alongside wellbeing supports
- broadening inclusivity, including options to support female siblings, increase exposure to female role models and create inclusive environments for gender-diverse students.

Example 4: OCHRE evaluation stage 2 – local decision-making

The OCHRE Local Decision-Making (LDM) initiative seeks to reset the relationship between Aboriginal communities and the government by embedding self-determination into service delivery.

Under the initiative, NSW Government agencies collaborate with Aboriginal Alliances and Assemblies to support community priorities, needs and aspirations. The aim is for Aboriginal communities to have a genuine voice in deciding what services are delivered and how they are delivered.

Evaluation approach

Stage 2 of the evaluation focused on whether LDM is achieving what it set out to do across LDM sites using a culturally grounded, participatory approach.

The evaluation design, analysis and reporting were carried out with Aboriginal Regional Alliances and Assemblies, communities, and NSW Government agencies. A strengths-based methodology weaved together First Nations knowledge with public-sector and academic perspectives.

Key findings and recommendations

The evaluation found that LDM:

- is well designed
- has strong governance
- is a key platform for transforming Aboriginal service delivery.

Case studies describe Aboriginal-led regional governance structures that help community voices reach agencies. These governance structures enable innovative, cross-agency, place-based responses to entrenched issues.

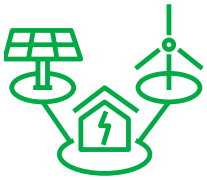
The evaluation concluded government practice has not yet shifted power consistently:

- Engagement is not sufficiently empowering communities to share decision-making authority.
- Ownership of service delivery has not been transferred to the Aboriginal community-controlled sector.
- Agencies need stronger accountability, cultural competence and responsiveness.

Recommendations emphasise:

- strengthening leadership for LDM across government
- properly resourcing Aboriginal leadership
- changing government processes to enable more agile, holistic, tailored responses – supported by clearer accountability, performance measurement and reporting.





Spotlight 2: Energy Cost-Benefit Analysis Framework

NSW requires an electricity supply that is reliable, affordable and sustainable. The traditional one-way energy system, primarily fuelled by large, centralised coal and gas-fired power stations, is undergoing a transition towards renewables. The energy sector is moving towards a two-way energy system where households and businesses use consumer energy resources to contribute energy and services back to the grid, broadening the range of incentives needed to support the evolving energy system.

The Energy Cost-Benefit Analysis (CBA) Framework, developed by the Department of Climate Change, Energy, the Environment and Water (DCCEEW) in collaboration with NSW Treasury, provides practical guidance for assessing the economic merit of energy-related initiatives. The framework applies to energy initiatives outside the scope of projects assessed under the *Electricity Infrastructure Investment Act 2020*, and covers a broad range of demand-side and supply-side measures. It expands on and supersedes the previous Energy Efficiency CBA Framework and supplements the NSW Government Guide to Cost Benefit Analysis (TPG23-08).

A core feature of the framework is its clear definition of the base case. It assumes that energy demand will continue to be met and focuses analysis on how an initiative changes the way energy is supplied or used, rather than whether energy is available. This incremental approach helps ensure that benefits such as avoided fuel costs, deferred network investment and emissions reductions are estimated consistently and are not double-counted across initiatives.

The framework sets out a structured and comprehensive taxonomy of costs and benefits relevant to energy CBAs. On the cost side, this includes government expenditure, regulatory costs, participant costs and the opportunity cost of land. On the benefit side, it provides detailed guidance across electricity generation, transmission and distribution, gas and other fuel impacts, customer reliability and disconnection, pollution and health outcomes, and qualitative benefits such as improved comfort and First Nations representation.

The framework provides a practical method for estimating the short-run marginal cost of electricity generation, which underpins several core benefit estimates. For major projects with material system wide impacts, it also recognises that static approaches may be insufficient, and notes that dynamic market modelling, using large scale optimisation software to simulate market operations over time, may be required to capture feedback effects across the energy system.

The framework provides guidance on the treatment of transfers between consumers, producers and government, distinguishing these from net economic benefits to improve transparency around distributional impacts. It also addresses standing issues, noting that where the origin or destination of a transfer lies outside NSW, transfers may, in some circumstances, represent a real economic effect for NSW residents and should be considered carefully within the CBA.

Recognising uncertainty in technology uptake, fuel prices and future system conditions, the framework emphasises sensitivity analysis and scenario testing to identify key value drivers and highlight where results are most sensitive to underlying assumptions.

The framework will be updated periodically to reflect the developing energy landscape and improvements in technical understanding over time to ensure it remains fit-for-purpose.

For more information visit the Energy Cost Benefit Analysis (CBA) Framework.



Spotlight 3: 2021 COVID-19 business support programs

The COVID-19 pandemic had extensive health and economic implications globally. In 2021, to mitigate the Delta variant's impact, the NSW Government implemented temporary public health orders, which were repeatedly extended.

In the absence of the Australian Government reinstating JobKeeper to support businesses (which they had done in 2020), the NSW Government introduced the one-off COVID-19 business grant. This was later expanded to more ongoing initiatives such as the JobSaver program and the COVID-19 micro-business grant.

These business support programs cost $10.7 billion, which included co-contributions of $3.4 billion from the Australian Government for JobSaver and an estimated $315 million in program administration costs. The three main objectives of the programs were to:

- prevent the closure of otherwise viable NSW businesses
- support businesses to retain their employment headcount
- help businesses support a swift economic recovery once restrictions were lifted.

The programs provided support to almost 300,000 businesses from July to November 2021 while the public health orders were in effect. They had large-scale coverage throughout the state economy, providing assistance to almost 37 per cent of NSW businesses.

The independent evaluation was conducted in two parts:

- Outcome evaluation: to assess if the intended programs were achieved in terms of their impact on businesses, jobs and economic recovery.
- Process evaluation: to assess the effectiveness of the programs' design and delivery in realising program objectives.

Business-level data analysis of the JobSaver program indicated that the program achieved its intended objectives. It is estimated that it:

- prevented at least 11,000 businesses from closing
- supported at least 14,000 people in continuing their employment with their employer.

Along with the econometric analysis on the JobSaver program, over 6,900 NSW businesses provided feedback on the business support program in the Taverner Business Survey (2024). The evaluation also drew on interviews and roundtables with stakeholders, including businesses, peak bodies, academics and public servants.

The evaluation found that the NSW business support programs were important in upholding business confidence during a time of uncertainty.

The JobSaver program prevented an estimated



11,000

businesses from closing

The JobSaver program supported



14,000

people in their employment

The JobSaver analysis and Taverner Business Survey indicated between 121,000 to 182,000 businesses that received support might have survived without support payments. However, the evaluation saw this as inevitable given the swift response required by the Delta variant public health orders. It found that better targeting was not possible with the data available or without significantly slowing program delivery.

For more information visit Independent evaluation of the 2021 COVID-19 business support programs.

Opportunities to learn from the key findings

The lack of a national framework for coordinating an immediate economic policy response after momentous events or shocks was a challenge. Conflicting views on roles, responsibilities and approaches made it hard to design and set up the programs quickly.

The evaluation recommended development of a playbook for coordinated economic responses to plausible scenarios, which includes data sharing arrangements, and roles and responsibilities.

Fit-for-purpose governance was established early but not adhered to for the lifecycle of the program. Towards the post-program audit stage, policy ownership and oversight became unclear and led to ineffective reporting, unclear decision-making processes and blurred accountabilities.

The evaluation noted a handbook for designing crisis economic programs that supports the NSW Grants Administration Guide could have assisted in preventing some of the gaps in governance.

Pre-existing data access and sharing agreements with the Australian Government would have significantly improved state-level program delivery (for example, access to Australian Government payment systems, Australian Taxation Office business data and Services Australia program data).

While the econometric analysis found the JobSaver program prevented the closure of 11,000 businesses, the effects of the COVID-19 business grant and micro-business grant could not be estimated. This is because their outcomes could not be directly measured using the ABS BLADE data.

The evaluation suggests a stocktake of existing business datasets and clear pathways to access interjurisdictional datasets is needed to effectively and efficiently administer programs during crisis events.

The program design was not suited to the micro-business support program cohort. Key issues were a lack of:

- documentation that reliably demonstrated eligibility
- business data able to verify eligibility and detect fraud
- capacity to deliver at the same time as the other programs
- fraud management experience and capability.

The evaluation found that the micro-business grant would have been best left to the Australian Government, or rolled out with a different program design more suited to the business cohort. In addition, the need of the micro-business grant was found to be questionable, as owners of very small businesses were able to access the Australian Government's COVID-19 Disaster Payment.



Evidence policy beyond NSW – snapshot

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Artificial intelligence in evaluation

Artificial intelligence (AI) has the potential to improve the efficiency of policy evaluation techniques. AI can enhance productivity by improving data collection and synthesis. It can also leverage a broader and more up-to-date evidence base than would be possible through manual processes.

Resources to support responsible use of AI in evaluation include:

- The Australian Centre for Evaluation's Using artificial intelligence tools to support evaluation in the Australian Government has a series of short videos on how AI tools can be used at different stages of evaluation in the Australian Government.
- The OECD and Australian Centre for Evaluation's Unleashing the policy potential of rigorous impact evaluation and randomised trials working paper discusses how AI can support effective evaluation and evidence synthesis.
- The UK Evaluation Society's AI in Evaluation: Good Practice Guidelines for Practitioners offers practical guidance on how evaluators can use AI tools responsibly and transparently in the evaluation process.

Updates to Australian guidance

The Australian Centre for Evaluation released Randomised trials in Australian public policy: a review.

The report found that randomised trials have been long used to inform policy development, but are an under-utilised evaluation tool.

The report identified 369 Australian randomised policy trials published in Australia since 1976, 60 per cent of which were published since 2017.

The Strengthening Evaluation in the Australian Government – Action Plan 2026–2030 provides a whole-of-government action plan aimed at strengthening and embedding high-quality evaluation across the Australian Government. It identifies four evaluation priorities:

- leadership and culture
- capability
- planning and delivery
- use of evaluation evidence.

The Commonwealth Evaluation Maturity Model – Action Bank is a new resource to support the Commonwealth Evaluation Maturity Model.

The action bank has examples and templates to help users in developing action plans based on their maturity assessment.

The Australian Centre for Evaluation provide Guidance on economic evaluation methods. This guidance includes:

- overview of economic evaluation methods
- cost-benefit analysis
- cost-effectiveness analysis.

Updates to international guidance

United Kingdom

Green Book review

A 2025 review of the UK Green Book Guidance on Appraisal found:

- guidance was too long and complex
- guidance was ineffective in evaluating place-based objectives
- stakeholders were concerned investment decisions were based solely on single metrics such as benefit–cost ratios
- stakeholders were concerned regional equality objectives were not reflected in business cases
- stakeholders were concerned the declining social discount rate could systematically undervalue the longer-term benefits of transformational investments.

Following this, HM Treasury commissioned an independent review of the Green Book's approach to discounting. This included a recommendation to amend the headline discount rate from 3.5 per cent to 3 per cent. HM Treasury will consider the review's findings and publish a response. It has also published clearer, shorter guidance to address issues raised in the review.

Business case publication

- The UK Government has released new guidance on Publishing business cases to promote greater transparency around how public money is spent.
- All projects and programs on the Government Major Projects Portfolio must now publish business cases on the Business case publications: collection.

United States

US Circular A-4

The United States Circular A-4 2023 version was recinded in January 2025 by executive order in favour of the 2003 version. This revoked changes introduced in the 2023 update. The implications of this are:

- reduced focus on distributional analysis and approaches that apply weights to benefits and costs accruing to different groups
- less guidance about what supporting documents must be made public
- reduced focus on environmental impacts
- reduced focus on risk and uncertainty, including reverting to a default assumption of risk neutrality (rather than including risk aversion in analysis)
- reverting to using two discount rates: agencies will use 3 per cent for the social rate of time preference and 7 per cent for the rate of return on capital, instead of 2 per cent for both.

Environmental Protection Agency (EPA) value of statistical life

Since the passage of the Clean Air Act in 1970, the EPA have used the value of statistical life of $7.4 million (2006 dollars) to weight the benefits of clean air against the costs of regulation.

In January 2026, the EPA has announced the health benefits of clean air are too uncertain to quantify and will not be valued.





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